

UK GENDER GAP ANALYSIS for Reporting Year 2021 to 2022

EXECUTIVE SUMMARY

The UK government has an ongoing interest in **understanding and monitoring the gender pay gap across different industries and organisations**. This analysis aims to provide a clear and evidence-based overview of the gender pay gap across UK employers, including the typical size of the gap and how it varies across sectors, regions, and company sizes.

This report summarises key findings from the analysis of gender pay gap data for the **reporting period 2021 to 2022**. It highlights the overall level of the pay gap, identifies where it is most pronounced, and explains the underlying factors that may be contributing to these differences. The report also examines companies with larger pay gaps to understand whether these are isolated cases or part of broader patterns.

In addition, the report outlines important **limitations of the data** and provides guidance on how the findings should be interpreted. Finally, it offers **practical recommendations** on how the data collection and reporting process could be improved to support more accurate and actionable insights in the future.

The analysis is based on a dataset of **10,174 UK employers**, with a snapshot date of **4 April 2022**. The data is drawn from the UK Gender Pay Gap reporting service and includes key measures such as:

- differences in hourly pay between men and women (mean and median),
- differences in bonus pay,
- the proportion of men and women receiving bonuses, and
- the distribution of men and women across different pay levels within organisations.

Additional information includes company characteristics such as sector (based on SIC codes), location (postcode), and employer size, which allows for comparisons across different types of organisations.

KEY FINDINGS

The **typical (median) gender pay gap across UK employers is 9.8%**, indicating that, on average, women earn approximately 10% less than men across organisations.

The distribution of the gender pay gap is wide and skewed, with most companies clustered around the median of approximately 10%, but with a number of outliers showing significantly higher gaps.

The size of the pay gap **varies widely between companies**. While many organisations report relatively small gaps, a smaller number show much larger differences, indicating uneven outcomes across the workforce.

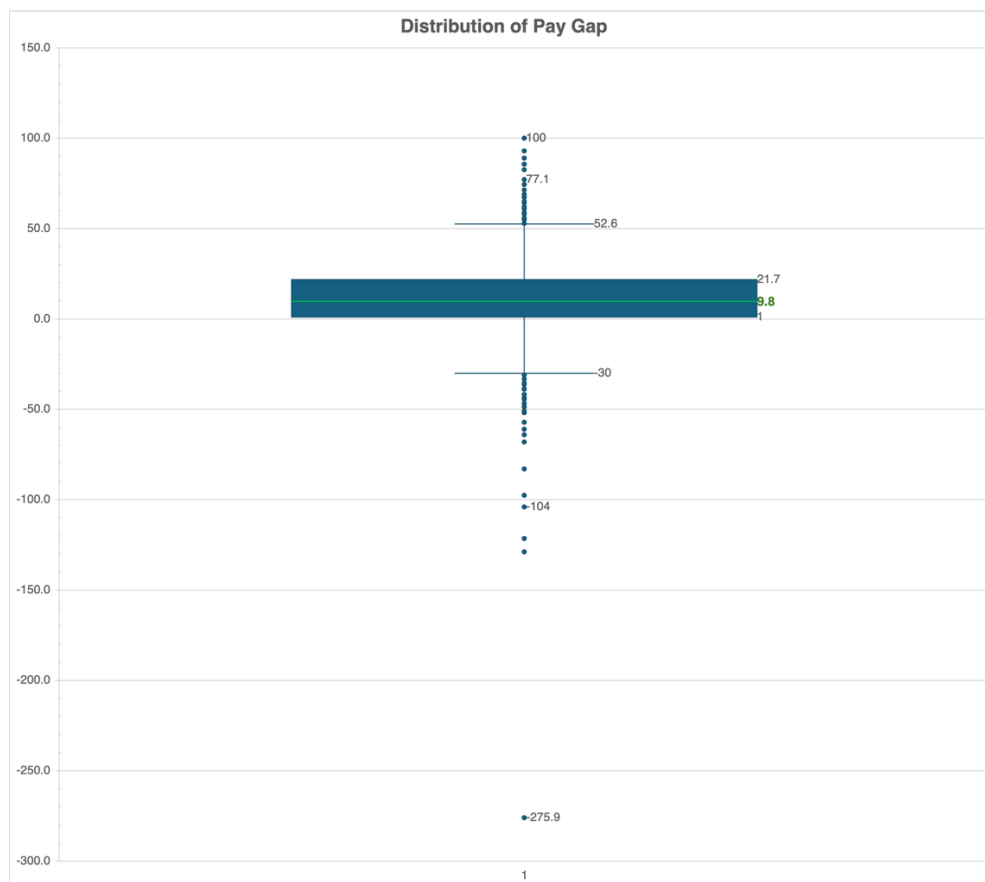


Chart 1: Distribution of Pay Gap

Large organisations are not exempt from the gender pay gap. Even among employers with over 20,000 employees, gaps remain significant ranging from 10% to 30%.

The gender pay gap is **primarily driven by differences in representation across roles and levels**, rather than unequal pay for the same work. In particular, **men are more likely to be represented in higher-paying roles**. This imbalance is not limited to senior leadership. Evidence shows that differences in representation begin earlier in the career pathway, indicating a **progression or “pipeline” issue**.

Male Top Quartile	Female Top Quartile	Male Upper Middle Quartile	Female Upper Middle Quartile
60.4	38	52.4	46

Table 1: Overall, data shows that UK companies are strongly male-dominated in the Top and Upper Middle Pay Quartiles

There is **no strong relationship between company size and the gender pay gap**, suggesting that organisational scale alone does not explain the differences. Median gaps across company size range from 7% to 11%. Large organisations with over 20,000 employees have a slightly lower median gap of 7.15%.

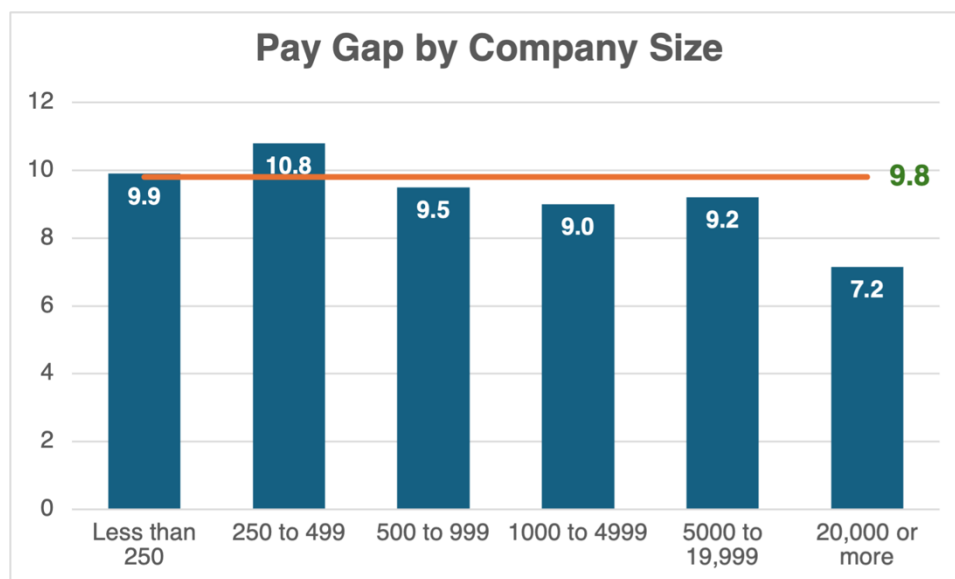


Chart 2: Pay Gap by Company Size

Regional differences in the gender pay gap are present but relatively modest. The analysis shows that the median gender pay gap is **higher in London (11%) than outside London (9.3%)**, indicating that pay differences are slightly more pronounced among London-based organisations.

However, the difference is not large, suggesting that the gender pay gap is a **widespread issue across all regions**. The higher gap in London may reflect the concentration of high-paying industries and roles, where men are more likely to be represented in senior positions.

In comparison, **Birmingham shows a slightly lower median pay gap (9.1%)**, which may reflect a more balanced mix of industries and a narrower range of high-paying roles. While this can result in a smaller gap, the difference remains modest and the gap is still evident.

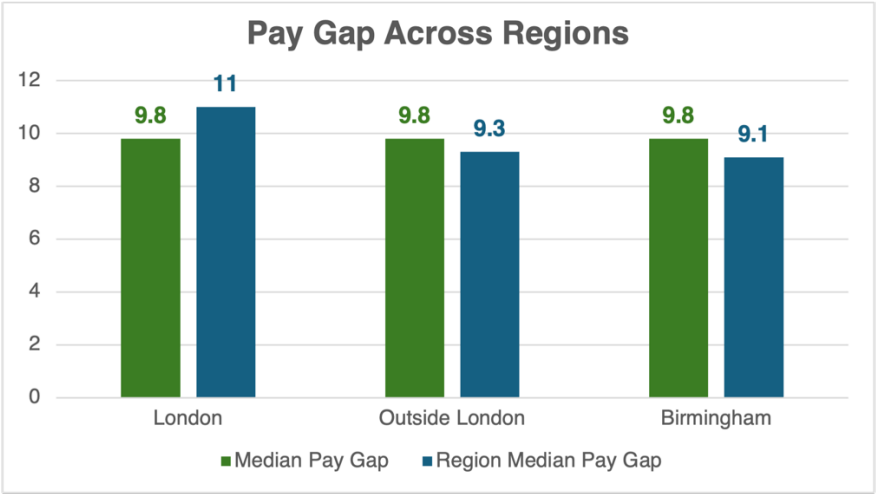


Chart 3: Pay Gap Across Regions

Overall, this indicates that **regional location alone does not fully explain the gender pay gap**. Instead, the gap is more strongly influenced by **workforce composition**, particularly how men and women are distributed across different pay levels.

Region	Male Top Quartile	Female Top Quartile	Male Upper Middle Quartile	Female Upper Middle Quartile
London	61.7	37	53.4	45.3
Outside London	60	38.9	51.9	46.5
Birmingham	56	42	47.8	50

Table 2: London and outside London are strongly male-dominated in the Top and Upper Middle Pay Quartiles

Significant variation is observed across sectors. The **Education sector which is female-dominated and Finance & Insurance which is a high-paying sector both show notably higher pay gaps**, reinforcing that the issue is linked to how roles are structured and distributed.

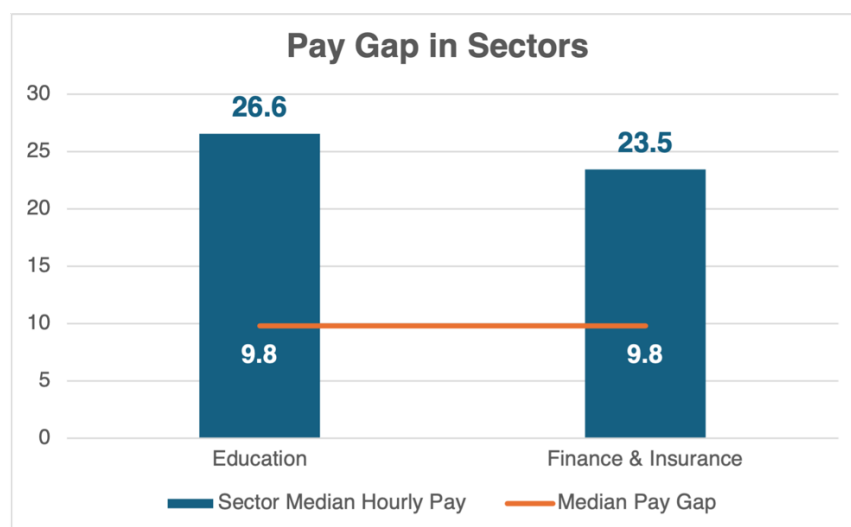


Chart 4: Pay Gap in Sectors

Sector	Male Top Quartile	Female Top Quartile	Male Upper Middle Quartile	Female Upper Middle Quartile
Education	33.7	65.95	26.4	73
Finance & Insurance	71.3	28.7	58.95	41.05

Table 3: Education sector is female-dominated and Finance & Insurance is male-dominated in the Top and Upper Middle Pay Quartiles

KEY IMPLICATIONS

The gender pay gap should not be interpreted as evidence of **unlawful pay discrimination**. Instead, it reflects broader structural factors, particularly the distribution of men and women across different roles and levels within organisations.

Addressing the gender pay gap will require **longer-term, structural changes**, including improving representation in higher-paying roles and supporting progression across the workforce.

LIMITATIONS OF THE DATA & KEY CAVEATS

While the dataset provides valuable insight into gender pay gaps across UK employers, several limitations should be considered when interpreting the findings.

First, the analysis is based on **employer-level reporting rather than workforce-weighted measures**. The use of median values across employers (i.e. a “median of medians”) means results are not adjusted for organisation size and therefore may not reflect the experience of the overall workforce.

Second, the dataset only includes **full-pay relevant employees**, excluding those on leave such as such as maternity, paternity, sick, sabbatical, or other forms of leave. This may understate the true gender pay gap, particularly in sectors where leave patterns differ by gender.

Third, the data does not include **role-level or job-specific information**, which limits the ability to assess equal pay for equal work. As a result, the findings should be interpreted as indicators of overall pay structure rather than direct evidence of pay inequality within the same roles.

Fourth, the dataset is **self-reported by employers**, and may contain inconsistencies in interpretation, reporting practices, or data quality. Some records also show signs of data quality issues, including unlikely values and incomplete quartile information.

Fifth, the data represents a **single reporting period** and does not allow for trend analysis over time. This limits the ability to assess whether gaps are widening, narrowing, or stable.

Sixth, geographic analysis is based on **employer postcode**, reflecting the registered business address rather than the actual location of employees. This may affect the accuracy of regional comparisons.

Seventh, sector-level analysis is constrained by **inconsistent or multiple industry classifications (SIC codes)**, which reduces comparability across organisations and may require approximation methods.

Finally, some structural limitations in the dataset affect interpretability. These include:

- the absence of **workforce headcount data**, which limits understanding of scale
- the lack of **context on working patterns and role distribution**, which are key drivers of pay gaps
- the use of **zeros in place of missing values**, making it difficult to distinguish between true zero values and unreported data

Taken together, these factors mean the findings should be used as a **directional and diagnostic view of gender pay gaps**, rather than a definitive measure of pay inequality or a basis for direct comparison across all employers.

RECOMMENDATIONS

The findings from this analysis highlight the need for improvements in both **data collection** and **organisational practices** to better understand and address the gender pay gap.

First, **enhance data granularity to better understand drivers**. To move beyond high-level comparisons, additional data should be collected on:

- **Job roles and levels,**
- **Career progression and promotions,** and
- **Tenure and experience.**

This would allow for a clearer understanding of whether pay differences arise within similar roles or are driven by how employees are distributed across different levels.

Second, **improve consistency and clarity in reporting**. While reporting is based on standard guidelines, there may be differences in how organisations interpret and apply these definitions. Strengthening guidance and introducing greater standardisation—particularly around pay components such as allowances and bonuses—would improve the **consistency and comparability** of reported data.

Third, **capture more precise workforce measures**. Currently, company size is reported in broad bands. Collecting **actual employee counts** would enable more accurate, weighted analysis and provide a clearer picture of the impact of the gender pay gap across the workforce.

Fourth, **strengthen location and sector classification**. Improving how location and sector are recorded—for example, using **actual workplace location and clearer primary sector classification**—would support more precise regional and industry-level analysis.

Lastly, encourage organisations to address progression pathways. Given that the gender pay gap is largely driven by differences in representation in higher-paying roles, organisations should be supported in:

- improving **career progression pathways**,
- increasing **representation at senior levels**, and
- ensuring **more equitable access to opportunities** across the workforce.

Improving both the **quality of data** and the **understanding of workforce progression** will be key to enabling more targeted and effective actions to address the gender pay gap.

CONCLUSION

This analysis shows that the gender pay gap in the UK is **widespread and persistent**, with a **typical gap of around 10% across employers**. While the size of the gap varies across companies, sectors, and regions, the overall pattern is consistent.

The evidence indicates that the gender pay gap is primarily driven by **differences in representation across roles and levels**, rather than unequal pay for the same work. In particular, men are more likely to be represented in higher-paying roles, and this imbalance often begins before the most senior levels, pointing to a broader **progression or pipeline issue**.

The findings also show that the gender pay gap is **not confined to specific types of organisations**. It is present across companies of all sizes, including large employers, and across different regions. While some sectors exhibit larger gaps than others, the underlying driver remains similar — **how men and women are distributed across the workforce**.

Importantly, the presence of a gender pay gap does not, on its own, indicate **unlawful pay discrimination**. However, it highlights areas where further attention may be needed, particularly in relation to **progression, representation, and access to higher-paying roles**.

Overall, addressing the gender pay gap will require a **sustained and structural approach**, focused on improving representation across all levels of the organisation. This includes supporting progression into higher-paying roles and ensuring that opportunities are accessible more evenly across the workforce.

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